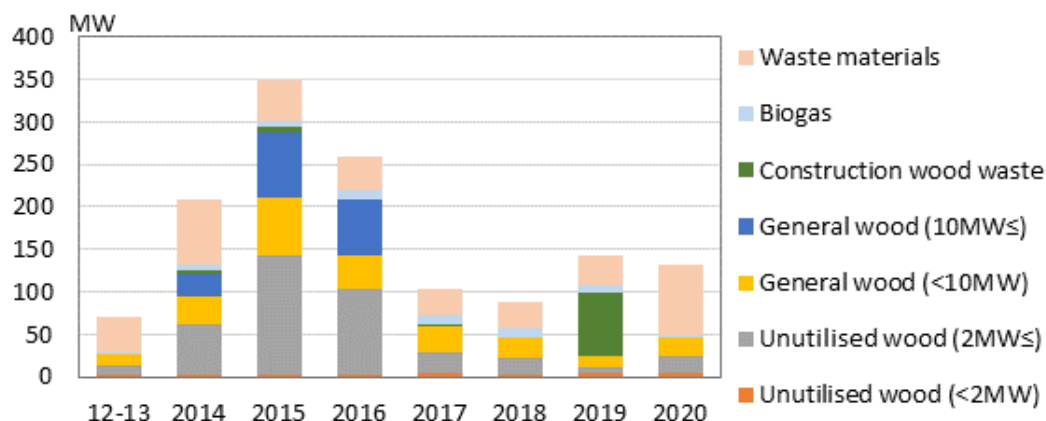


Figure 4.2. Operating Capacity under the FIT Scheme



FIT = feed-in-tariff.

Source: METI (2021a).

The newly approved capacity has stagnated lately because some strict measures reduced the accumulated idle capacity in the revised FIT Act of 2017. For instance, developers are required to have entered into the grid connection agreement with a utility company for an FIT approval and to submit a business plan for assessment of feasibility and sustainability. As a result, the approved biomass power capacity is about 160MW on average in FY2018 and FY2019.

A recent change in the FIT scheme is that new projects of biomass co-firing with coal in the category of unutilised wood, general wood, and construction wood waste are no longer eligible for the FIT scheme from FY2019.⁴ The data collected after implementation of the FIT scheme revealed that the generation costs of these biomass co-firing with coal are lower than the estimated costs of conventional biomass power plants in terms of capital expenditures, operation and maintenance, and fuels. Hence, biomass co-firing with coal does not have a rationale to receive support through the FIT scheme since it could make profits without it. For reference, Figure 4.3 illustrates a biomass co-firing ratio of the major power utilities' coal-fired power plants. Nearly half of the coal-fired power plants co-combusted biomass in FY2019 and most of them are less than 1% ratio of biomass.

⁴ Biomass of waste materials co-firing with coal is not eligible for the FIT scheme from FY2021.